

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

GENESIS RESOURCE ENTERPRISE INC., *Claimant*

v.

MAERSK LINE, LIMITED, *Respondent*.

DOCKET NO. 2014(I)

Served: September 4, 2024

BEFORE: Theresa Dike, *Small Claims Officer*.

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING

On July 29, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant Genesis Resource Enterprises Inc. (“Genesis”) had filed an informal complaint against Respondent Maersk Line, Limited (“Maersk”). Genesis alleges that Maersk violated 46 U.S.C. § 41102(c) of the Shipping Act in connection with certain charges Genesis alleges were caused by the actions of Maersk. The Secretary informed Maersk that it was required to file a response to the complaint by August 23, 2024, and indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305).

On August 12, 2024, Claimant submitted a Motion to Dismiss (“Motion”) and a copy of a settlement and release (“Settlement”) signed by both parties, requesting that its complaint against Maersk be dismissed with prejudice pursuant to 46 C.F.R. § 502.72(a)(3), based on the parties’ settlement of their dispute.

The Commission’s Rule 72(a)(3) provides:

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties; however, the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state in their settlement that their "Agreement has been negotiated between the parties, both of whom are represented by counsel," and that the "Agreement is made strictly as a customer accommodation and as a compromise of disputed claims . . . to avoid the expense and business distraction of continued dispute and/or litigation." Settlement at 1. A review of the settlement agreement, which is executed by both parties, shows no indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

Although the parties did not explicitly request confidentiality, the words: "Classification: Confidential" are printed on the Settlement and its terms provide that:

[n]either Maersk nor Claimant nor any of their respective Related Parties will, at any time or in any manner, either directly or indirectly, disclose, divulge, communicate or otherwise reveal or allow to be revealed to any person the terms, substance, or content of any communications, whether written or oral, concerning the negotiation, terms, execution or implementation of this Agreement or related to the Claimed Charges except to the extent required by applicable law, in which case the disclosing party shall first give written notice to the other party unless prohibited by applicable law.

Settlement at 1. It is thus presumed that the parties are seeking confidentiality for their agreement. "If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests." *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties' request to keep the terms of their settlement agreement confidential is reasonable and thus granted.

Upon consideration of the proposed settlement, Claimant's motion to dismiss, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer